

CREDIT APPRAISAL MEMO

Entity Name: Apex Manufacturing Private Limited
Sector: Manufacturing
Date: 2/28/2026

FINAL DECISION: REJECT

Suggested Limit: Not applicable

Risk Premium: Not applicable

Decision Rationale:

The company's adjusted score of 85 is below the threshold for approval. Additionally, the pending litigation, environmental concerns, and leveraged balance sheet indicate a high risk of default. Therefore, the loan application is rejected.

Analysis of the Five C's:

Character:

The company's character is impacted by the pending litigation and environmental concerns, which may indicate a lack of commitment to responsible business practices. However, the company's base score of 85 suggests a strong reputation.

Capacity:

The company's capacity is affected by the leveraged balance sheet, which may limit its ability to take on additional debt. However, the working capital facility and term loan indicate a manageable debt burden.

Capital:

The company's capital is impacted by the promoter loans, which are subordinated to bank debt. This may indicate a lack of equity support for the business.

Collateral:

The company's collateral is impacted by the pending lawsuit and statutory default, which may limit its ability to secure additional funding.

Conditions:

The company's conditions are impacted by the environmental notice and preliminary warning notice, which may indicate a lack of compliance with regulatory requirements.